

Earning and Managing Money

- 1 The table shows the income tax rates for the 2020–2021 financial year.

Taxable income	Tax payable on this income
0 – \$18 200	Nil
\$18 201 – \$45 000	19 cents for each \$1 over \$18 200
\$45 001 – \$120 000	\$5092 plus 32.5 cents for each \$1 over \$45 000
\$120 001 – \$180 000	\$29 467 plus 37 cents for each \$1 over \$120 000
\$180 001 and over	\$51 667 plus 45 cents for each \$1 over \$180 000

William has a gross annual salary of \$84 000. He has allowable tax deductions of \$900 for home-office equipment and \$474 for union fees. William must also pay a Medicare Levy of 2% of his taxable income.

Calculate the total tax payable by William including the Medicare Levy. (3 marks)

(Q22, 2021 HSC) Medium

- 2 The table shows the income tax rates for the 2019–2020 financial year.

Taxable income	Tax payable on this income
\$0 to \$18 200	Nil
\$18 201 to \$37 000	19c for each \$1 over \$18 200
\$37 001 to \$90 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$90 001 to \$180 000	\$20 797 plus 37c for each \$1 over \$90 000
\$180 001 and over	\$54 097 plus 45c for each \$1 over \$180 000

For the 2019–2020 financial year, Wally had a taxable income of \$122 680. During the year, he paid \$3000 per month in Pay As You Go (PAYG) tax.

Calculate Wally's tax refund, ignoring the Medicare levy. (3 marks)

(Q20, 2020 HSC) Medium

- 3 Julia earns \$28 per hour. Her hourly pay rate increases by 2%. How much will she earn for a 4-hour shift with this increase?

A \$2.24 B \$28.56
C 112 D \$114.24 (1 mark)

(Q7, 2019 HSC) Easy

- 4 The table shows the income tax rates for the 2018–2019 financial year.

Taxable income	Tax payable on this income
\$0 to \$18 200	Nil
\$18 201 to \$37 000	19c for each \$1 over \$18 200
\$37 001 to \$90 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$90 001 to \$180 000	\$20 797 plus 37c for each \$1 over \$90 000
\$180 001 and over	\$54 097 plus 45c for each \$1 over \$180 000

The Medicare levy is calculated as 2% of taxable income.

For the 2018–2019 financial year, Charlie pays a Medicare levy of \$1934.80.

Calculate the tax payable on Charlie's taxable income. (3 marks)

(Q32, 2019 HSC) Medium

- 5 A nanny charges \$15 per hour, or part thereof, for looking after a child.

What does the nanny charge for looking after a child from 8 am until 3.20 pm on a particular day?

A \$105 B \$108
C \$110 D \$120 (1 mark)

(Q8, 2018 HSC) Medium

- 6 To determine the retail price of an item, a shop owner increases its cost price by 30%. In a sale, the retail price is reduced by 30% to give the sale price.

How does the sale price compare to the cost price?

A The sale price is less than the cost price.
B The sale price is the same as the cost price.
C The sale price is more than the cost price.
D It is impossible to compare without knowing the cost price. (1 mark)

(Q14, 2018 HSC) Medium

- 7 Last year, Luke's taxable income was \$87 000 and the tax payable on this income was \$19 822. This year, Luke's taxable income has increased by \$16 800.

i Use the table to calculate the tax payable by Luke this year. (2 marks) Easy

Taxable income (\$)	Tax payable
\$0 – \$18 200	Nil
\$18 201 – \$37 000	19c for each \$1 over \$18 200
\$37 001 – \$87 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$87 001 – \$180 000	\$19 822 plus 37c for each \$1 over \$87 000
\$180 001 and over	\$54 232 plus 45c for each \$1 over \$180 000

ii How much extra money will Luke have this year, after paying tax, as a result of the increase in his taxable income? Ignore the Medicare levy. (2 marks) Easy

(Q30b, 2018 HSC)

- 8 Tom earns a weekly wage of \$1025. He also receives an additional allowance of \$87.50 per day when handling toxic substances.

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What is Tom's income in a fortnight in which he handles toxic substances on 5 separate days?

- A \$1112.50 B \$1462.50
C \$2225.00 D \$2487.50 (1 mark)

(Q6, 2017 HSC) Easy

- 9 Sabrina's taxable income is \$86 725 in a particular year.

The table below is used to calculate her tax payable. In addition, she pays the Medicare levy, which is 2% of her taxable income.

Taxable income (\$)	Tax payable
\$0 – \$18 200	Nil
\$18 201 – \$37 000	19c for each \$1 over \$18 200
\$37 001 – \$87 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$87 001 – \$180 000	\$19 822 plus 37c for each \$1 over \$87 000
\$180 001 and over	\$54 232 plus 45c for each \$1 over \$180 000

Calculate Sabrina's net income in that year. (3 marks)

(Q29b, 2017 HSC) Medium

- 10 Isabella works a 35-hour week and is paid at an hourly rate of \$18. Any overtime hours worked are paid at time-and-a-half. In a particular week, she earned \$1008.

How many hours in total did Isabella work in this week to earn this amount?

- A 37.3 B 42
C 49 D 56 (1 mark)

(Q20, 2016 HSC) Easy

- 11 Jenny earns a yearly salary of \$63 752. Her annual leave loading is $17\frac{1}{2}\%$ of four weeks pay.

Calculate her total pay for her four weeks of annual leave. (3 marks)

(Q26e, 2016 HSC) Easy

- 12 Theo is completing his tax return. He has a gross salary of \$82 521 and income from a rental property totalling \$10 920. He is claiming \$13 420 in allowable deductions.

i Determine Theo's taxable income. (1 mark) Easy

ii Using the tax table below, calculate Theo's tax payable. (2 marks) Easy

Taxable income	Tax on this income
\$0 – \$18 200	Nil
\$18 201 – \$37 000	19c for each \$1 over \$18 200
\$37 001 – \$80 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$80 001 – \$180 000	\$17 547 plus 37c for each \$1 over \$80 000
\$180 001 and over	\$54 547 plus 45c for each \$1 over \$180 000

- iii In addition to the above tax, Theo must also pay a Medicare levy of \$1600.42.

Theo has already paid \$20 525 as Pay As You Go (PAYG) tax.

Should Theo receive a tax refund or will he owe more tax? Justify your answer with calculations. (2 marks) Medium

(Q26f, 2016 HSC)

- 13 Gayle's gross pay each week is \$952.25.

The following deductions are taken from her gross pay each week:

- tax \$180.93
- superannuation \$85.70
- union membership \$21.40
- health fund \$38.15.

What is Gayle's net pay each week?

- A \$326.18 B \$626.07
C \$771.32 D \$952.25 (1 mark)

(Q3, 2015 HSC) Easy

- 14 Jane sells jewellery. Her commission is based on a sliding scale of 6% on the first \$2000 of her sales, 3.5% on the next \$1000, and 2% thereafter.

What is Jane's commission when her total sales are \$5670?

- A \$188.40 B \$208.40
C \$321.85 D \$652.05 (1 mark)

(Q13, 2014 HSC) Easy

- 15 Luke's normal rate of pay is \$24.80 per hour. In one week he worked 14 hours at the normal rate, 4 hours at time-and-a-half, and $3\frac{1}{2}$ hours at double time. He was also paid a wet weather allowance of \$50 for the week.

What was his pay for the week?

- A \$583.20 B \$620.40
C \$669.60 D \$719.60 (1 mark)

(Q3, 2013 HSC) Easy

- 16 An enterprise agreement has the following annual salary arrangements:

Base Salary	Leadership Allowance
Step 1 \$35 000	Leader 1 \$5000
Step 2 \$40 000	Leader 2 \$7500
Step 3 \$45 000	Leader 3 \$10 000

George's employer pays 6% more than the enterprise agreement. He is on Step 3 and receives an allowance for Leader 2.

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What is George's gross monthly pay?

- A \$4375.00 B \$4412.50
C \$4600.00 D \$4637.50 (1 mark)

(Q11, 2013 HSC) Medium

- 17 The table shows the tax payable to the Australian Taxation Office for different taxable incomes.

Taxable income	Tax on this income
\$0 – \$18 200	Nil
\$18 201 – \$37 000	19c for each \$1 over \$18 200
\$37 001 – \$80 000	\$3572 plus 32.5c for each \$1 over \$37 000
\$80 001 – \$180 000	\$17 547 plus 37c for each \$1 over \$80 000
\$180 001 and over	\$54 547 plus 45c for each \$1 over \$180 000

Peta has a gross annual salary of \$84 000. She has tax deductions of \$1000 for work-related travel and \$500 for stationery. The Medicare levy that she pays is calculated at 1.5% of her taxable income.

Peta has already paid \$18 500 in tax.

Will Peta receive a tax refund or will she owe money to the Australian Taxation Office? Justify your answer by calculating the refund or amount owed. (4 marks)

(Q27b, 2013 HSC) Medium

- 18 Jo qualifies for both Rent Assistance and Youth Allowance and receives a fortnightly payment from the government.

Rent Assistance is \$119.40 per fortnight.

The maximum Youth Allowance is \$402.70 per fortnight. It is reduced by 50 cents in the dollar for any income earned over \$236 per fortnight.

Jo earns \$300 per fortnight from a part-time job.

What is the total payment Jo receives each fortnight from the government?

- A \$370.70 B \$372.10
C \$458.60 D \$490.10 (1 mark)

(Q18, 2012 HSC) Easy

- 19 Tai earns a gross weekly wage of \$1024. Each week her deductions are:

- tax instalment of \$296.40
- health fund contribution of \$24.50
- union fees of \$15.80.

She also pays \$3640 over the year as her share of the household expenses.

What percentage of her net wage does Tai pay for household expenses? (3 marks)

(Q27a, 2012 HSC) Easy

- 20 Simon is a mechanic who receives a normal rate of pay of \$22.35 per hour for a 40-hour week.

When he is needed for emergency call-outs he is paid a special allowance of \$150 for that week. Additionally, every time he is called out to an emergency he is paid for a minimum of 4 hours at double time.

In the week beginning 2 February, 2011 Simon worked 40 hours normal time and was needed for emergency call-outs. His emergency call-out log book for the week is shown.

Employee: Simon	
Week: 2/2/11 to 8/2/11	
Date	Duration of call-out
3/2/11	5 hours
5/2/11	1.5 hours

What was Simon's total pay for that week?

- A \$1189.28 B \$1296.30
C \$1334.55 D \$1446.30 (1 mark)

(Q19, 2011 HSC) Easy

- 21 Sri has a gross salary of \$56 350. She has tax deductions of \$350 for union fees, \$2000 in work-related expenses and \$250 in donations to charities.

The Medicare levy is 1.5% of her taxable income.

Calculate Sri's Medicare levy. (3 marks)

(Q23a, 2011 HSC) Medium

- 22 This advertisement appeared in a newspaper.

Civil Engineer
Base rate of pay: \$1586.70 per week.
Depending upon qualifications and experience, up to an additional 3.5% may be added to the weekly base rate of pay.

What is the maximum possible salary per annum for this civil engineer, correct to the nearest dollar? (2 marks)

(Q23a, 2010 HSC) Medium

- 23 Billy worked for 35 hours at the normal hourly rate of pay and for five hours at double time. He earned \$561.60 in total for this work.

What was the normal hourly rate of pay?

- A \$7.02 B \$12.48
C \$14.04 D \$16.05 (1 mark)

(Q10, 2009 HSC) Easy

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- 24 Using the tax table, what is the tax payable on \$43 561?

Taxable income	Tax payable
\$0 – \$12 000	Nil
\$12 001 – \$30 000	Nil plus 30 cents for each \$1 over \$12 000
\$30 001 – \$45 000	\$5400 plus 40 cents for each \$1 over \$30 000
\$45 001 – \$60 000	\$11 400 plus 50 cents for each \$1 over \$45 000
over \$60 000	\$18 900 plus 55 cents for each \$1 over \$60 000

- A \$5424.40 B \$10824.40
C \$16 224.40 D \$17 424.40 (1 mark)

(Q6, 2008 HSC) Easy

- 25 Luke's normal rate of pay is \$15 per hour. Last week he was paid for 12 hours, at time-and-a-half.

How many hours would Luke need to work this week, at double time, to earn the same amount?

- A 4 B 6
C 8 D 9 (1 mark)

(Q7, 2008 HSC) Easy

- 26 Bob is employed as a salesman. He is offered two methods of calculating his income.

Method 1: Commission only of 13% on all sales
Method 2: \$350 per week plus a commission of 4.5% on all sales

Bob's research determines that the average sales total per employee per month is \$15 670.

- i Based on his research, how much could Bob expect to earn in a year if he were to choose Method 1? (2 marks) Easy
- ii If Bob were to choose a method of payment based on the average sales figures, state which method he should choose in order to earn the greater income. Justify your answer with appropriate calculations. (3 marks) Medium

(Q24a, 2008 HSC)

- 27 Joe is about to go on holidays for four weeks. His weekly salary is \$280 and his holiday loading is $17\frac{1}{2}\%$ of four weeks pay.

What is Joe's total pay for the four weeks holiday?

- A \$196 B \$329
C \$1169 D \$1316 (1 mark)

(Q3, 2007 HSC) Easy

- 28 Myles is in his third year as an apprentice film editor.

- i Myles purchased film-editing equipment for \$5000. After 3 years it has depreciated to \$3635 using the straight-line method.

Calculate the rate of depreciation per year as a percentage. (2 marks) Medium

- ii Myles earns \$800 per week. Calculate his taxable income for this year if the only allowable deduction is the amount of depreciation of his film-editing equipment in the third year of use. (1 mark) Medium
- iii Use this tax table to calculate Myles's tax payable. (2 marks) Medium

Taxable income (\$)	Tax payable
\$0 – \$10 000	Nil
\$10 001 – \$28 000	Nil plus 25 cents for each \$1 over \$10 000
\$28 001 – \$50 000	\$4500 plus 30 cents for each \$1 over \$28 000
\$50 001 – \$100 000	\$11 100 plus 40 cents for each \$1 over \$50 000
over \$100 000	\$31 100 plus 60 cents for each \$1 over \$100 000

(Q26b, 2007 HSC)

- 29 A salesman earns \$200 per week plus \$40 commission for each item he sells.

How many items does he need to sell to earn a total of \$2640 in two weeks?

- A 33 B 56
C 61 D 66 (1 mark)

(Q5, 2006 HSC) Medium

- 30 This income tax table is used to calculate Evelyn's tax payable.

Taxable income	Tax payable
\$0 – \$20 000	Nil
\$20 001 – \$45 000	Nil plus 10 cents for each \$1 over \$20 000
\$45 001 – \$70 000	\$2500 plus 35 cents for each \$1 over \$45 000
\$70 001 and above	\$11 250 plus 52 cents for each \$1 over \$70 000

Evelyn's taxable income increases from \$50 000 to \$80 000.

What percentage of her increase will she pay in additional tax?

- A 15.25% B 40.7%
C 43.5% D 52% (1 mark)

(Q22, 2006 HSC) Medium

- 31 Two groups of people were surveyed about their weekly wages. The results are shown in the box-and-whisker plots.



Which of the following statements is true for the people surveyed?

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- A The same percentage of people in each group earned more than \$325 per week.
 B Approximately 75% of people under 21 years earned less than \$350 per week.
 C Approximately 75% of people 21 years and older earned more than \$350 per week.
 D Approximately 50% of people in each group earned between \$325 and \$350 per week.

(1 mark)

(Q22, 2005 HSC) Easy

32. Using the tax table, determine the tax payable on a taxable income of \$47 000.

Taxable income	Tax on this income
\$0 – \$6 000	NIL
\$6 001 – \$22 000	16 cents for each \$1 over \$6 000
\$22 001 – \$45 000	\$2 560 plus 25 cents for each \$1 over \$22 000
\$45 001 – \$60 000	\$8 310 plus 40 cents for each \$1 over \$45 000
\$60 001 and over	\$14 310 plus 48 cents for each \$1 over \$60 000

- A \$8310.40 B \$9109.60
 C \$9110.00 D \$10310.40 (1 mark)

(Q10, 2004 HSC) Easy

33. Stan worked for 24 hours as shown on his pay slip.

What was his hourly rate of pay?

- A \$11.20 B \$12.13
 C \$14.56 D \$18.20 (1 mark)

(Q20, 2004 HSC) Easy

34. David is paid at these rates:

Weekday rate	\$18.00 per hour
Saturday rate	Time-and-a-half
Sunday rate	Double time

His time sheet for last week is:

	Start	Finish	Unpaid break
Friday	9.00 am	1.30 pm	30 minutes
Saturday	9.00 am	4.00 pm	1 hour
Sunday	8.00 am	2.00 pm	1 hour

- i Calculate David's gross pay for last week. (3 marks) Easy

- ii David decides not to work on Saturdays. He wants to keep his weekly gross pay the same. How many extra hours at the weekday rate must he work? (1 mark) Medium

(Q27b, 2004 HSC)

35. Dora works for \$9.60 per hour for eight hours each day on Thursday and Friday. On Saturday she works for six hours at time-and-a-half.

How much does Dora earn in total for Thursday, Friday and Saturday?

- A \$192.00 B \$211.20
 C \$240.00 D \$316.80 (1 mark)

(Q3, 2003 HSC) Easy

36. Vicki earns a taxable income of \$58 624 from her job with an insurance company. She pays \$14 410.80 tax on this income.

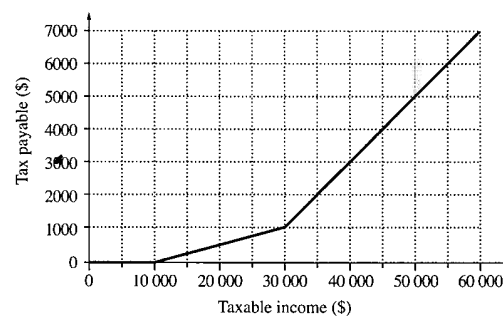
- i Vicki has a second job which pays \$900 gross income per month. What is Vicki's total annual taxable income from both jobs, assuming that she has no allowable tax deductions? (1 mark) Easy
 ii Use the tax table below to calculate the total tax payable on her income from both jobs. (2 marks) Easy

Taxable income	Tax payable
\$0–\$6 000	NIL
\$6 001–\$22 000	18 cents for each \$1 over \$6 000
\$22 001–\$55 000	\$2 880 plus 30 cents for each \$1 over \$22 000
\$55 001–\$66 000	\$12 780 plus 45 cents for each \$1 over \$55 000
\$66 001 and over	\$17 730 plus 48 cents for each \$1 over \$66 000

- iii Show that Vicki's monthly net income from her second job is \$486.44. (3 marks) Medium

(Q24b, 2003 HSC)

37. The graph shows the tax payable for taxable incomes up to \$60 000 in a proposed tax system.



How much of each dollar earned over \$30 000 is payable in tax?

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- A 10 cents B 12 cents
C 20 cents D 23 cents (1 mark)

(Q22, 2002 HSC) Medium

- 38 Jordan's gross pay is \$1500 per fortnight.
- i Fortnightly deductions from Jordan's gross pay are:
- \$269.17 for tax;
 - \$788 for union fees;
 - \$16.25 for private health insurance.
- Calculate his fortnightly net pay. (1 mark) Easy
- ii Jordan is paid an annual leave loading of $17\frac{1}{2}\%$ of 4 weeks' gross pay. Calculate his annual leave loading. (1 mark) Easy

(Q23a, 2002 HSC)

- 39 Alex works in a shop where the normal weekday rate of pay is \$12 per hour. On Saturdays she is paid time-and-a-half.
- How much did Alex earn in a week in which she worked for seven hours on Thursday and three hours on Saturday?
- A \$84 B \$120
C \$138 D \$180 (1 mark)

(Q1, 2001 HSC) Easy

- 40 The table shows personal income tax rates.

Taxable income	Tax on this income
\$0 – \$6 000	Nil
\$6 001 – \$20 000	17 cents for each \$1 over \$6 000
\$20 001 – \$50 000	\$2 380 plus 30 cents for each \$1 over \$20 000
\$50 001 – \$60 000	\$11 380 plus 42 cents for each \$1 over \$50 000
\$60 001 and over	\$15 580 plus 47 cents for each \$1 over \$60 000

Sandra has a gross income of \$60 780 and deductions that total \$2420.

What is the tax payable on Sandra's taxable income?

- A \$13 526.60 B \$14 891.20
C \$15 946.60 D \$17 084.00 (1 mark)

(Q10, 2001 HSC) Easy

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1 Taxable income
 $= \$84\,000 - \$900 - \$474$
 $= \$82\,626$ ✓
 Tax payable on that income
 $= \$5092 + \0.325
 $\times (82\,626 - 45\,000)$
 $= \$17\,320.45$ ✓
 Medicare levy = 2% of \$82 626
 $= 0.02 \times \$82\,626$
 $= \$1652.52$
 Total tax payable
 $= \$17\,320.45 + \1652.52
 $= \$18\,972.97$ ✓
 (3 marks)

2 Taxable income = \$122 680
 Tax on that income
 $= \$20\,797 + \$0.37 \times$
 $(122\,680 - 90\,000)$
 $= \$32\,888.60$ ✓
 PAYG tax paid
 $= 12 \times \$3000$
 $= \$36\,000$ ✓
 Tax refund
 $= \$36\,000 - \$32\,888.60$
 $= \$3111.40$ ✓
 (3 marks)

3 2% of \$28 = \$0.56
 New hourly pay rate = \$28.56
 Julia's earnings = $4 \times \$28.56$
 $= \$114.24$

Answer D

4 \$1934.80 is 2% or $\frac{1}{50}$ of Charlie's taxable income. ✓
 Taxable income = $50 \times \$1934.80$
 $= \$96\,740$ ✓
 Tax payable = $\$20\,797 + \$0.37 \times$
 $(96\,740 - 90\,000)$
 $= \$23\,290.80$ ✓
 (3 marks)

5 From 8 am until 3 pm is 7 hours.
 From 3 pm until 3.20 pm
 is another part of an hour
 so 8 hours will be charged
 altogether.
 Total charge = $8 \times \$15$
 $= \$120$

Answer D

6 Retail price is 130% of cost price.
 Sale price is 70% of retail price.
 So sale price is 70% of 130% of
 cost price or 91% of cost price.
 The sale price is less than the
 cost price.

Answer A

7 i Tax payable
 $= \$19\,822 + \$0.37 \times 16\,800$ ✓
 $= \$19\,822 + \6216
 $= \$26\,038$ ✓ (2 marks)
 ii Extra tax paid = \$6216 ✓
 Extra money
 $= \$16\,800 - \6216
 $= \$10\,584$
 Luke will have \$10 584 extra
 this year. ✓ (2 marks)

8 Tom's fortnightly income
 $= 2 \times \$1025 + 5 \times \87.50
 $= \$2487.50$
 Answer D

9 Taxable income = \$86 725
 Tax payable
 $= \$3572 + \$0.325 \times$
 $(86\,725 - 37\,000)$
 $= \$19\,732.625$
 $= \$19\,732.63$ (nearest cent) ✓
 Medicare levy = $0.02 \times \$86\,725$
 $= \$1734.50$
 Total tax = $\$19\,732.63 + \1734.50
 $= \$21\,467.13$ ✓
 Net income
 $= \$86\,725 - \$21\,467.13$
 $= \$65\,257.87$ ✓
 (3 marks)

10 Normal earnings = $35 \times \$18$
 $= \$630$
 Total overtime pay
 $= \$1008 - \630
 $= \$378$
 Overtime rate
 $= 1.5 \times \$18$
 $= \$27$ per hour
 Overtime hours
 $= \$378 \div \$27 = 14$
 Total hours worked = $35 + 14$
 $= 49$

Answer C

11 Weekly pay = $\$63\,752 \div 52$
 $= \$1226$ ✓
 So 4 weeks pay = $4 \times \$1226$
 $= \$4904$
 Loading = $0.175 \times \$4904$
 $= \$858.20$ ✓
 Total holiday pay
 $= \$4904 + \858.20
 $= \$5762.20$ ✓
 (3 marks)

12 i Taxable income
 $= \$82\,521 + \$10\,920 - \$13\,420$
 $= \$80\,021$ ✓
 (1 mark)

ii Tax payable
 $= \$17\,547 + \0.37 ✓
 $\times (80\,021 - 80\,000)$
 $= \$17\,554.77$ ✓
 (2 marks)

iii Total to be paid
 $= \$17\,554.77 + \1600.42
 $= \$19\,155.19$ ✓
 But Theo has paid \$20 525.
 So Theo will receive a tax
 refund because he has
 already paid more than is
 necessary.
 Refund
 $= \$20\,525 - \$19\,155.19$
 $= \$1369.81$ ✓
 (2 marks)

13 Total deductions
 $= \$180.93 + \$85.70 + \$21.40$
 $+ \$38.15$
 $= \$326.18$
 Net pay = $\$952.25 - \326.18
 $= \$626.07$

Answer B

14 6% of \$2000 = \$120
 3.5% of \$1000 = \$35
 2% of \$2670 = \$53.40
 Total = \$208.40

Answer B

15 Normal pay = $14 \times \$24.80$
 $= \$347.20$
 Time-and-a-half overtime pay
 $= 4 \times 1.5 \times \$24.80$
 $= \$148.80$
 Double-time pay
 $= 3.5 \times 2 \times \$24.80$
 $= \$173.60$
 Total pay
 $= \$347.20 + \148.80
 $+ \$173.60 + \50
 $= \$719.60$
 Answer D

16 On Step 3 with allowance for
 Leader 2 the enterprise
 agreement pay
 $= \$45\,000 + \7500
 $= \$52\,500$
 6% more than this amount
 $= 1.06 \times \$52\,500$
 $= \$55\,650$
 Monthly pay = $\$55\,650 \div 12$
 $= \$4637.50$

Answer D

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17 Total deductions = $\$1000 + \500
= $\$1500$

Taxable income = $\$84\,000 - \1500
= $\$82\,500$ ✓

From the tax table:

tax = $\$17\,547 + \0.37×2500
= $\$18\,472$ ✓

Medicare levy = $1.5\% \times \$82\,500$
= $\$1237.50$

Total tax payable
= $\$18\,472 + \1237.50
= $\$19\,709.50$ ✓

So, Peta owes money to the Australian Taxation Office because the tax payable is greater than the tax she has already paid.

Difference
= $\$19\,709.50 - \$18\,500$
= $\$1209.50$

Peta must pay an additional $\$1209.50$ ✓

(4 marks)

18 Income above $\$236$
= $\$300 - \236
= $\$64$

Reduction = $0.5 \times \$64$
= $\$32$

Jo's youth allowance
= $\$402.70 - \32
= $\$370.70$

Total payment
= $\$370.70 + \119.40
= $\$490.10$

Answer D

19 Total deductions
= $\$296.40 + \$24.50 + \$15.80$
= $\$336.70$ ✓

Net wage = $\$1024 - \336.70
= $\$687.30$

Weekly share of household expenses
= $\$3640 \div 52$
= $\$70$ ✓

Percentage of net wage
= $\frac{70}{687.30} \times 100\%$
= $10.184\,78\ldots\%$
= 10.2% [1 decimal place] ✓

(3 marks)

20 Normal weekly pay = $40 \times \$22.35$
= $\$894.00$

For the first call-out Simon is paid for 5 hours at double time.

For the second call-out Simon is paid for 4 hours at double time.

Pay for call-outs = $9 \times 2 \times \$22.35$
= $\$402.30$

Total pay
= $\$894 + \$150 + \$402.30$
= $\$1446.30$

Answer D

21 Total tax deductions
= $\$350 + \$2000 + \$250$
= $\$2600$ ✓

Taxable income
= $\$56\,350 - \2600
= $\$53\,750$ ✓

Medicare levy = 1.5% of $\$53\,750$
= $0.015 \times \$53\,750$
= $\$806.25$ ✓

(3 marks)

22 3.5% of weekly base rate
= $0.035 \times \$1586.70$
= $\$55.5345$
= $\$55.53$ [nearest cent] ✓

Maximum weekly pay
= $\$1586.70 + \55.53
= $\$1642.23$

Maximum annual salary
= $52 \times \$1642.23$
= $\$85\,395.96$
= $\$85\,396$ [nearest dollar] ✓

(2 marks)

23 Hours worked at normal rate
= $35 + 2 \times 5$
= 45

∴ Hourly rate of pay
= $\$561.60 \div 45$
= $\$12.48$

Answer B

24 Tax payable
= $\$5400 + 0.40 \times (\$43\,561 - 30\,000)$
= $\$5400 + \5424.40
= $\$10\,824.40$

Answer B

25 12 hours pay at time-and-a-half
= $12 \times 1.5 \times \$15$
= $\$270$

Double-time pay
= $2 \times \$15$
= $\$30$ per hour

Number of hours worked
= $\$270 \div \30
= 9

Answer D

26 i Expected income (Method 1)
= $\frac{13}{100} \times \$15\,670 \times 12$ ✓
= $\$24\,445.20$ ✓

(2 marks)

ii Expected income (Method 2)
= $\$350 \times 52 + \frac{4.5}{100} \times \$15\,670 \times 12$
= $\$18\,200 + \8461.80
= $\$26\,661.80$ ✓

Based on the calculations above and in i, Bob should choose Method 2. ✓

(3 marks)

27 Total pay
= 4 weeks pay + loading
= $4 \times \$280 + 17\frac{1}{2}\% \times 4 \times \280
= $\$1120 + \196
= $\$1316$

Answer D

28 i $S = V_0 - Dn$
∴ $3635 = 5000 - D \times 3$
 $3D = 5000 - 3635$
= 1365
∴ $D = \$455$. ✓

∴ Rate of depreciation
= $\frac{455}{5000} \times 100$
= 9.1% ✓

(2 marks)

ii Taxable income
= Income - deductions
= $(\$800 \times 52) - \455
= $\$41\,600 - \455
= $\$41\,145$

(1 mark)

iii Tax payable
= $\$4500 + 0.30 \times (\$41\,145 - \$28\,000)$
= $\$4500 + 0.3 \times \$13\,145$
= $\$4500 + \3943.50
= $\$8443.50$ ✓

(2 marks)

29 Pay for 2 weeks = $\$400$

Commission from sales
= $\$2640 - \400
= $\$2240$

No. of items sold = $\$2240 \div \40
= 56

Answer B

Earning and Managing Money

30 Tax on \$50 000
 $= \$2500 + 0.35 \times (\$50\,000 - \$45\,000)$

$$= \$2500 + \$1750$$

$$= \$4250$$

Tax on \$80 000

$$= \$11\,250 + 0.52 \times \$10\,000$$

$$= \$16\,450 \quad (\text{by calc.})$$

$$\text{Additional tax} = \$16\,450 - \$4250$$

$$= \$12\,200$$

Percentage of increase

$$= \frac{12\,200}{(80\,000 - 50\,000)} \times 100$$

$$= \frac{12\,200}{30\,000} \times 100$$

$$= 40.6666 \dots \%$$

$$\approx 40.7\%$$

Answer B

- 31 A is not true because 50% of people under 21 earned more than \$325, but 75% of the others earned more than \$325. ($\therefore$ C is not true either.)

D is not true because only 25% of people under 21 earned between \$325 and \$350 per week.

B is true. 75% of people under 21 earned less than \$350 per week.

Answer B

32 Tax payable
 $= \$8310 + 0.40 \times (\$47\,000 - \$45\,000)$
 $= \$8310 + 0.40 \times \2000
 $= \$9110$

Answer C

- 33 Normal hours worked

$$= 20 + 4 \times 1\frac{1}{2}$$

$$= 26$$

$\therefore$ Hourly rate

$$= \$291.20 \div 26$$

$$= \$11.20$$

Answer A

34 i Friday: $4 \times \$18 = \72 ✓
 Saturday: $6 \times 1\frac{1}{2} \times \$18 = \$162$
 Sunday: $5 \times 2 \times \$18 = \180 ✓
 $\therefore$ Total gross pay
 $= \$72 + \$162 + \$180$
 $= \$414$ ✓

(3 marks)

- ii Saturday's pay was the equivalent of $6 \times 1\frac{1}{2} = 9$ hours.
 (1 mark)

35 Thursday earnings
 $= 8 \times \$9.60 = \76.80

Friday earnings

$$= 8 \times \$9.60 = \$76.80$$

Saturday earnings

$$= 6 \times 1\frac{1}{2} \times \$9.60 = \$86.40$$

Total earnings

$$= \$76.80 + \$76.80 + \$86.40$$

$$= \$240$$

Answer C

36 i Taxable income from Job 1
 $= \$58\,624$

Taxable income from Job 2

$$= \$900 \times 12$$

$$= \$10\,800$$

$\therefore$ Total taxable income

$$= \$10\,800 + \$58\,624$$

$$= \$69\,424$$

(1 mark)

- ii Total tax payable

$$= \$17\,730$$

$$+ 0.48(\$69\,424 - \$66\,000)$$

$$= \$17\,730 + 0.48 \times \$3424$$

$$= \$17\,730 + \$1643.52$$

$$= \$19\,373.52$$

(2 marks)

- iii Tax on second job

$$= \text{Tax payable} - \text{Tax paid}$$

$$= \$19\,373.52 - \$14\,410.80$$

$$= \$4962.72$$

$\therefore$ Monthly tax on second job

$$= \$4962.72 \div 12$$

$$= \$413.56$$

$\therefore$ Net monthly income from second job

$$= \$900 - \$413.56$$

$$= \$486.44$$

(3 marks)

37 Tax on income of \$30 000
 $= \$1000$ (from graph)

Tax on income of \$40 000

$$= \$3000$$
 (from graph)

$\therefore$ Additional tax per extra

$$\$10\,000 \text{ earned} = \$2000$$

$\therefore$ Amount per dollar payable in tax.

$$= \frac{\$2000}{\$10\,000} = \$0.20$$

$$= 20 \text{ cents}$$

Answer C

38 i Fortnightly net pay
 $= \$1500 - \269.17
 $= \$1206.70$

(1 mark)

- ii Annual leave loading

$$= \frac{17\frac{1}{2}}{100} \times 2 \times \$1500$$

$$= \$525.00$$

(1 mark)

39 Amount earned
 $= 7 \times \$12 + 3 \times 1\frac{1}{2} \times \12
 $= \$84 + \54
 $= \$138$

Answer C

40 Taxable income
 $= \$60\,780 - \2420
 $= \$58\,360$
 Tax payable
 $= \$11\,380 + 0.42 \times (\$58\,360 - \$50\,000)$
 $= \$11\,380 + \3511.20
 $= \$14\,891.20$

Answer B